requirement would likely not have been justified by any compatibility benefits that would arise from such an alternative.

One commenter generally supported adding XBRL requirements throughout the proposal rather than relying on a mixture of XBRL and custom XML requirements, stating that XBRL requirements provide greater benefit than custom XML requirements.[869] The commenter stated that a fillable web form that automatically generates XBRL files can be created just as easily as one that creates a custom XML file. While the Commission agrees that this is technically feasible, the EDGAR system is (with limited exception) currently built to provide fillable web forms for custom XML filings, not for XBRL filings, and changing the system would incur costs and burdens that would not justify the related benefit.

The Commission could alternatively have replaced the Inline XBRL requirements with custom XML requirements for some or all of the relevant Structured Documents (which include Form X-17A-5 Part III, Form 17-H, Form CA-1, Form 1, and CCO reports). However, while this could have led to benefits such as smaller file sizes and lower compliance burdens (to the extent entities would have inputted disclosures into fillable forms rather than structuring the disclosures themselves), Inline XBRL is more technically suited to handle financial statement disclosures (and was originally designed to so), as well as extended narrative discussions (including those with individual values nested within the discussions). Accordingly, Inline XBRL as required for these forms is appropriate.

4. Require Structured Data Languages other than Inline XBRL and Custom XML

As another alternative, the Commission could have required structured data languages other than Inline XBRL and custom XML for some or all the affected documents. For example,

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[869] See XBRL Letter at 2.

the Commission could have required other variants of XBRL, such as XBRL-CSV ("Comma-Separated Values") or XBRL-JSON ("JavaScript Object Notation"). As stated in the Proposing Release, public commenters in other rulemakings had indicated that using these XBRL variants could entail benefits, such as smaller file sizes and greater ease of use.[870] One commenter conveyed its support for XBRL requirements and stated that the type of XBRL (such as XBRL-CSV, XBRL-JSON, or Inline XBRL) that should be used depends on the type of data collected.[871] This commenter encouraged the Commission to explore XBRL-CSV as an alternative to the proposed custom XML requirements, stating that XBRL-CSV files are smaller than custom XML files because files generated in XBRL-CSV can rely on references to taxonomies to include the necessary labels, definitions, and relationships, whereas a custom XML file must contain all necessary labels, definitions, and relationships itself.[872]

The Commission agrees with the commenter that using an XBRL-CSV requirement in place of the custom XML requirements under the amended rules would have yielded smaller files than custom XML files and could therefore have incremental usability benefits for data users. However, unlike custom XML and Inline XBRL, no EDGAR filings are currently filed

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870 See Letter from Campbell Pryde, President and CEO, XBRL US, "RE: Enhanced Reporting of Proxy Votes by Registered Management Investment Companies; Reporting of Executive Compensation Votes by Institutional Investment Managers, File Number S7-11-21" (Dec. 14, 2021), available at https://www.sec.gov/comments/s7-11-21/s71121-20109496-263895.pdf (stating, "The XBRL-CSV specification allows data to be prepared in a simple CSV file which can then be opened in Excel. Data prepared using XBRL-CSV can be loaded automatically with no need to understand the meaning of individual columns (which would need to be reviewed if ingesting a custom XML file)"); Letter from Gregory Babyak, Global Head of Regulatory Affairs, Bloomberg, L.P., BLOOMBERG L.P. "Enhanced Reporting of Proxy Votes by Registered Management Investment Companies; Reporting of Executive Compensation Votes by Institutional Investment Managers Release No. 34-93169 / File No. S7-11-21" (Dec. 14, 2021), available at https://www.sec.gov/comments/s7-11-21/s71121-20109566-263925.pdf (stating, "JSON makes for significantly smaller files, does not need specialized tools and libraries, and is both easier to consume and generate").

871 See XBRL Letter at 11.

872 See id. at 2.

using the XBRL-CSV format or the XBRL-JSON format, and the EDGAR system currently does not accept these formats.[873] As such, the usability benefit associated with XBRL-CSV or XBRL-JSON would not have justified the burden of expanding reporting and intake capability to accommodate JSON or CSV.

Other structured data languages that could have been used include the Financial Information eXchange Markup Language ("FIXML"), which the Commission recently proposed for security-based swap position reporting, and pipe-delimited ASCII, which the Rule 605 NMS Plan currently requires for market centers' order execution reports.[874] However, FIXML is generally designed to accommodate the communication of information related to securities trading, whereas the information required by the Structured Documents is broader.[875] For pipe-delimited ASCII, unlike custom XML, EDGAR does not currently provide fillable forms or rendering applications for that format. In addition, the use of pipe-delimited ASCII rather than custom XML and Inline XBRL would have precluded more complex technical validations (such as checks on any disclosures nested within narrative descriptions).

5. Permit, Not Require, Structured Data for Affected Documents

As another alternative, the Commission could have replaced some or all the structured data requirements with voluntary structuring provisions. This would have provided greater

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873 See Regulation S-T, 17 CFR 232.101(a)(1)(iv); 17 CFR 232.301; EDGAR Filer Manual, Volume II, at 5.1 (requiring EDGAR filers generally to use ASCII or HTML for their document submissions, subject to certain exceptions).

874 See Exchange Act Release No. 93784 (Dec. 15, 2021), 87 FR 6652, 6675 (Feb. 4, 2022); 17 CFR 242.605(a)(2) and Securities and Exchange Commission File No. 4-518 (National Market System Plan Establishing Procedures Under Rule 605 of Regulation NMS) at 2 ("Section V . . . provides that market center files must be in standard, pipe-delimited ASCII format").

875 See What Is FIX?, available at https://www.fixtrading.org/what-is-fix/ (last visited Apr. 19, 2024) ("The FIX Protocol language is comprised of a series of messaging specifications used in trade communications"). FIXML is the machine-readable data language associated with the Financial Information eXchange ("FIX") Protocol. See FIXML Online, Technical Specification, Version 1.1. (May 2014), https://www.fixtrading.org/standards/fixml-online/ (last visited Apr. 19, 2024).

flexibility to respondents and eased compliance burdens on any respondents that chose not to structure their filings or postings. For instance, Form X-17A-5 Part III and Form 17-H were previously partially subject to custom XML structured data requirements when voluntarily filed on EDGAR, and approximately half of broker-dealers chose to voluntarily file their annual reports on EDGAR.[876] Some respondents may have been incentivized by the benefits of structured data, such as reduced audit fees, and the ability to review of peer respondents' structured disclosures in order to assist with their own disclosure preparations,[877] and thus may have pursued those benefits even in the absence of structured data requirements. However, as shown by the number of broker-dealers that did not voluntarily file on EDGAR, relying on all affected entities to pursue such incentives would likely have resulted in the incomplete provision of structured data. This would have resulted in incomplete datasets, thereby adversely affecting the informational benefits that will accrue from structured data requirements.

One commenter, in the particular context of CCO reports, stated that the Commission should require a single reporting process to avoid confusion and added expense to the marketplace.[878] According to the commenter, allowing reporting entities to choose from a variety of approaches will require data users to employ different data collection methodologies to extract the data they need.[879] The Commission agrees that allowing reporting entities to choose from different reporting approaches—such as allowing some reporting entities to submit documents in an unstructured format—would add burden to data users, because they would have

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876 See infra note 907 and accompanying text.

877 See supra section X.C.1.b.

878 See XBRL Letter at 9–10; see also id. at 10 ("Processing data in structured, machine-readable XBRL format takes seconds compared to HTML which takes at least 20 minutes, PDF around 30 minutes, and an image file, about 50 minutes.").

879 See id.

to manually collect and process unstructured information from entities choosing not to structure their reports, and compare it to the results of analyses of structured information from entities that do choose to structure those same reports. The Commission is therefore not including voluntary structuring requirements under the amended rules.

6. Exempt Smaller Entities from Electronic Submission or Posting Requirements

As another alternative, the Commission could have exempted smaller entities from electronic submission or posting requirements for some or all of the affected documents. This could take the form of some thresholds based on total assets, total annual revenues, net capital requirements, a combination of factors, or the type of entity (e.g., whether the broker-dealer carries customer accounts and receives or holds customer cash and securities, or whether the broker-dealer is an OTC derivatives dealer).

While this alternative could have reduced the cost burden to smaller entities, this alternative would also have eliminated the benefits of electronic submission and posting for these entities, such as the reduction of costs and the improved efficiency of the submission process. In addition, exempting smaller entities from the submission or posting requirements might have reduced the value of publicly available data if the result was that only a portion of the submissions are machine-readable or if multiple methods were required to access all the data as might occur if some portion of forms were submitted electronically via EDGAR while other submissions of the same form are made publicly available as PDFs of paper submissions.

7. Require SROs to submit Form 19b-4(e) via EDGAR

As another alternative, rather than requiring the information required by Rule 19b-4(e) under the Exchange Act to be posted on an SRO's website in custom XML, the Commission could have amended Rule 19b-4, Form 19b-4(e), and the instructions thereto to require SROs to submit Form 19b-4(e) with the Commission via EDGAR using custom XML. One commenter

stated that Form 19b-4(e) should be submitted to EDGAR (or, alternatively, that the Commission or another party should create a registry where links to these documents can be posted).[880] The commenter stated that this would facilitate ease of use for market participants, who would be able to collect all needed data in one location rather than set up mechanisms to track new form postings on multiple websites.[881] The commenter also stated that such an approach would be unlikely to increase the reporting burden for SROs.[882]

The Commission disagrees with the commenter and is adopting the rule as proposed, because SROs provide thousands of Forms 19b-4(e) each year, and the Commission expects the products subject to Rule 19b-4(e) will continue to number in the thousands going forward. In addition, the information to be provided under Rule 19b-4(e) is limited to no more than eight basic information items, including ticker symbol, type of issuer, and whether the underlying instrument is a broad or narrow-based index. Given the quantity of these products and the limited set of information required to be provided under Rule 19b-4(e) for each new product, requiring EDGAR submission would be an unduly burdensome process compared to SRO website posting, which will provide a readily accessible interface for market participants to access this data without necessitating submission to EDGAR. Similarly, a registry of links would add an unnecessary layer of complexity in making the information publicly available when many market participants are already familiar with accessing SROs' public websites.

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880 See XBRL Letter at 6.

881 See id.

882 See id.

8. Require the Use of Dedicated Mailbox

As another alternative, the Commission could require registrants submit by sending some or all the affected documents to a dedicated email inbox in addition to eliminating the paper requirement. For example, rather than requiring registered clearing agencies to post Rule 17a-22 materials on their websites, the Commission could require registered clearing agencies to submit electronic copies of Rule 17a-22 materials to a dedicated email inbox at the Commission, as they have been doing recently, consistent with the Updated Staff Statement.[883] Similarly, another example would be to require SROs to send Form 19b-4(e) materials to a dedicated email inbox at the Commission, rather than publicly posting the materials on their websites. This alternative would facilitate Commission staff access to the Rule 17a-22 and 19b-4(e) materials compared to the requirements being adopted, as Commission staff would receive the materials directly rather than having to navigate to each registered clearing agency's individual website. However, this alternative could delay or preclude their availability for market participants and require Commission staff to upload these documents to EDGAR, imposing costs and delays on the process.[884] One commenter agreed with the proposed amendments, stating that it already posts material on its website and that email submission is duplicative.[885] In addition, to the extent that market participants have already developed the practice of submitting the affected documents via EDGAR – for these documents, the alternative, requiring submission to an electronic mailbox would entail both a higher cost and a lower benefit for market participants.

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883 See Updated Staff Statement.

884 See XBRL Letter at 8, which argued against giving SBS entities flexibility to choose from reporting options, claiming that data users would be disadvantaged, and that it would impose costs on the reporting ecosystem. See also Sage Letter, stating support for making Form 19b-4(e) publicly posted on the SRO website.

885 See OCC 5/22/2023 Letter at 4.

XI. Final Regulatory Flexibility Act Analysis

The Regulatory Flexibility Act requires Federal agencies, in promulgating rules under section 553 of the Administrative Procedure Act,[886] to consider the impact of those rules on small entities. The Commission has prepared the following Final Regulatory Flexibility Analysis in accordance with section 4(a) of the RFA.[887] An Initial Regulatory Flexibility Analysis ("IRFA") was prepared in accordance with the RFA and was included in the Proposing Release.[888]

A. Regulatory Flexibility Act Certification

The final amendments include changes that will affect brokers, dealers, national securities exchanges, clearing agencies, Securities Futures Product Exchanges, and SBS Entities. With regard to a national securities exchange subject to Rule 17a-19, a small entity is an exchange that has been exempt from the reporting requirements of Rule 601 under Regulation NMS and is not affiliated with any person (other than a natural person) that is not a small business or small organization. With respect to a clearing agency, a small entity is a clearing agency that: (1) compared, cleared and settled less than $500 million in securities transactions during the preceding fiscal year (or in the time that it has been in business, if shorter); (2) had less than $200 million of funds and securities in its custody or control at all times during the preceding fiscal year (or in the time that it has been in business, if shorter); and (3) is not affiliated with any person (other than a natural person) that is not a small business or small organization.[889] When used with reference to an "issuer" or a "person," other than an investment

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886 5 U.S.C. 553.

887 5 U.S.C. 604(a).

888 See Proposing Release at section XI.

889 17 CFR 240.0-10(d).

company, a small entity includes an "issuer" or "person" that, on the last day of its most recent fiscal year, had total assets of $5 million or less.[890]

No national securities exchange, Security Futures Product Exchange, or national securities association is a "small entity" as currently defined. With regard to clearing agencies, based on publicly reported data the Commission does not believe that any registered or exempt clearing agency is a "small entity" as currently defined. With respect to registrants subject to Rule 17a-12, based upon financial reports and other information filed with the Commission by such entities, none of the entities subject to Rule 17a-12 is a "small entity" as currently defined. With respect to SBS Entities, based on feedback from market participants and staff experience with the security-based swap markets, and consistent with the Commission's position in prior Dodd-Frank Act rulemakings, the Commission continues to believe that (1) the types of entities that register with the Commission as SBSDs (i.e., because they engage in more than a de minimis amount of dealing activity involving security-based swaps)—which generally would be large financial institutions—would not be "small entities" for purposes of the RFA and (2) the types of entities that may have security-based swap positions above the level required to be MSBSPs would not be "small entities" for purposes of the RFA.[891] The Commission thus continues to believe that SBS Entities providing notices (and any amendments to the notices) required by Rule 15fi-3(c)[892] or filing annual reports required by Rule 18a-7 would not be "small entities" for purposes of the RFA. The Commission also continues to expect that all Relying

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890 17 CFR 240.0-10(a).

891 See Registration Process for Security-Based Swap Dealers and Major Security-Based Swap Participants, Exchange Act Release No. 75611 (Aug. 5, 2015), 80 FR 48964, 49013 (Aug. 14, 2015); Prohibition Against Fraud, Manipulation, or Deception in Connection with Security-Based Swaps; Prohibition against Undue Influence over Chief Compliance Officers; Position Reporting of Large Security-Based Swap Positions, Exchange Act Release No. 93784 (Dec 15, 2021), 87 FR 6652, 6702-03 (Feb 4, 2022).

892 See Risk Mitigation Adopting Release, 85 FR at 6411-12.

Entities making use of the ANE Exception from the de minimis threshold to SBSD status would not be "small entities" for purposes of the RFA.[893] As a result, any Registered Entity filing an ANE Exception Notice or withdrawal of an ANE Exception Notice also would not be a "small entity."[894] Consequently, with respect to the entities described in this paragraph, the Commission certifies that the amendments, as adopted, will not have a significant economic impact on a substantial number of small entities.

B. Regulatory Flexibility Act Analysis

The analysis below applies to broker-dealers that are considered "small entities" for Regulatory Flexibility Act purposes.

1. Need for, and Objectives of, the Final Amendments

The purpose of the final amendments is to modernize the filing and submission of certain Commission forms by requiring these forms to be filed or submitted electronically, often in structured data format. With respect to the amendments relating to the FOCUS Report, the purpose is to harmonize the form with other rules, make technical corrections, and provide clarifications. The need for, and objectives, of the final amendments are discussed in sections I through VII above. The economic impact and potential alternatives to the amendments are

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[893] See Cross-Border Adopting Release, 85 FR at 6345.

[894] Because the Commission does not expect any Relying Entity to be a "small entity" for purpose of the RFA, any affiliated broker serving as the Registered Entity for purposes of the ANE Exception also would not be a "small entity." See Cross-Border Adopting Release, 85 FR at n.737. Moreover, any registered SBSD serving as the Registered Entity for purposes of the ANE Exception would likely be registered as such because it engages in security-based swap dealing above the de minimis threshold, and therefore also would not, in the Commission's view, be a "small entity." See supra note 891 and accompanying text. Even in the unlikely event that some Relying Entities satisfy the ANE Exception's conditions via the use of an affiliated Registered Entity that is a registered security-based swap dealer and a "small entity" for purposes of the RFA, the Commission continues to believe that there would not be a substantial number of such entities. See Cross-Border Adopting Release, 85 FR at 6345.